Key Takeaways - Five Critical Lessons

🎯 1. CONTEXT MATTERS - Model Validity is Conditional

Lesson: Altman's Z-score works for private firms in competitive markets with bankruptcy risk. It **fails catastrophically** when:

- Bankruptcy is impossible (government guarantee)
- "Equity" is subsidies, not retained earnings
- "Liabilities" exclude debt (no access to capital markets)
- "Working capital" is uncollectible receivables

Implication: Always interrogate model assumptions before application

🎯 2. DESCRIPTION ≠ EXPLANATION

Paper does: Documents patterns (size matters, gender matters, location matters)
Paper doesn't do: Explains WHY using theory
Lesson: Advanced CF requires **causal mechanisms**, not just correlations

🎯 3. CIRCULAR REASONING TRAP

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"We'll measure X with tool Y" ↓ "Tool Y says no X exists" ↓ "But tool Y is invalid" ↓ "Therefore X exists" ⚠️ INVALID!
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Lesson: Can't use an invalid measure to support claims—must develop valid alternative FIRST